- The high value of *gold* imports, driven mainly by the 'safe haven' demand for gold that has led to a sharp rise in prices, contributed to the high import bill and widening of the trade deficit.
- As per the ***Economic Survey 2012-13***, the trade deficit, as a result, increased to US$ 189.8 billion in 2011-12, which was 10.2 per cent of the GDP. The signs of *strain on BoP* continued in the first half of 2012-13 (April–September 2012) with the trade deficit increasing to 10.8 per cent of GDP and CAD (current account deficit) at 4.6 per cent of GDP. The CAD peaked to *'an all-time high'* of **6.7** per cent by ***end-March 2013*** *(as per the MoF and the RBI).*
- The CAD is estimated to be **5.1** per cent for 2012-13 as per the latest document ***'Review of the Economy 2012-13'*** (released on **April 23, 2013** by Dr. C. Rangarajan, Chairman, Economic Advisory Council to the Prime Minister). The document has estimated the CAD for fiscal *2013-14* at **4.7** per cent.

The high CAD has had implications for rupee volatility and business confidence in the economy. A positive development is that high CAD has lately been financed by capital inflows, which explains why the downhill movement of rupee, witnessed till July 2012, has been largely arrested. There has, however, been high dependence on volatile portfolio flows and external commercial borrowings. This makes capital account vulnerable to a 'reversal' and 'sudden stop' of capital, especially in times of stress.

The foreign **investment environment** of India has been directly affected by the crisis – the main fallout of the euro zone crisis is global uncertainty. This has led to investors' alternating between ***risk-on*** and ***risk-off*** behaviour, with consequent implications for surge and reversal of capital to emerging economies. A risk-on, prompted by new policy initiatives, creates a favourable disposition towards emerging economy investment, leading to surge in FIIs flows and vice versa –

- While change in investor attitude is generally observable in the long-run, the fallout of the euro zone crisis has been quick shift between risk-on/risk-off behaviour that has immediate implications for capital flows. An additional factor has been quantitative easing in the US. This increases the supply of liquidity in the system and